TEACHER GUIDE DRAFT

Leaving Certificate Business (current syllabus)

Organising: structure and span of control



Unit 3: Managing 1
3.3 Organising: structure of organisation, span of control

A revision lesson. Pupils run a car dealership in firms of four and revise organising: structure and span of control on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min | **45 min** | 60 min | 75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Matrix team problem

Round 1

Sales, finance and workshop staff form a team to launch a service. Each reports to two managers.

Which problem is most likely?

- **A** Too little variety for staff
- **B** Conflicting orders from two bosses
- **C** Less sharing of ideas across teams
- **D** One manager's span is too narrow

ANSWER

✓ Conflicting orders from two bosses

Why: In a matrix staff answer to two managers, whose demands can clash.

2 Branch power risks

Round 1

You let branch managers set prices and hire their own staff.

Which two are the main risks?

- **A** More decisions go to head office
- **B** Branches charge different prices
- **C** Head office loses some control
- **D** Decisions reach branches slowly
- **E** Local managers feel less trusted

ANSWER

✓ Branches charge different prices
✓ Head office loses some control

Why: Local decisions are faster, but less consistent and harder to control.

3 Rank manager cost

Round 2

Three branches: managers, their pay, and the staff they lead.

Order by management cost per worker, lowest first?

- **A** 3 managers on €45,000, 27 staff
- **B** 6 managers on €36,000, 72 staff
- **C** 4 managers on €40,000, 40 staff

ANSWER

1. **6 managers on €36,000, 72 staff**
2. **4 managers on €40,000, 40 staff**
3. **3 managers on €45,000, 27 staff**

Why: €3,000, €4,000 and €5,000 per worker: wider spans cost less.

Topic tasks

4 Delayering saving

Round 2

You cut a layer of middle managers.

Saving in year 1?

Managers removed	**2 staff**
Pay of each, a year	**€35,000**
Redundancy pay, each, once	**€9,000**
Rise, each of the 7 who stay	**€2,500**

ANSWER

€34,500

2 × (€35,000 − €9,000) − 7 × €2,500 = €34,500

Why: Year 1 carries the redundancy pay; the full saving comes from year 2.

5 Who sets prices

Round 3

Buyers complain that the same model costs more in another of your branches.

What should you change, and why?

A Let each branch keep its prices

B Set prices at head office

ANSWER

✓ **Set prices at head office**

Why: Central pricing makes every branch charge the same.

6 Fix slow approvals

Round 3

Branch staff wait days for head office to approve each discount, and they lose sales.

Which fix fits, with its main risk?

A Centralise further: slower replies

B Add a layer: spans get wider

C Decentralise: branch prices may differ

D Decentralise: decisions get slower

ANSWER

✓ **Decentralise: branch prices may differ**

Why: Branch decisions are quicker, but each branch may price differently.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Organising: structure and span of control”: the 6 come from these 10 questions.

1 What is span of control?
✔ **The number of staff reporting to one manager**

2 A service manager has 12 technicians reporting directly to her. What is her span of control?
✔ **12**

3 A dealer group has many levels and narrow spans. What is a likely drawback?
✔ **Slow communication up and down the levels**

4 A flat structure means...
✔ **few levels and wide spans of control**

5 Which structure groups staff into sales, service and finance departments?
✔ **A functional structure**

6 A group has 1 managing director and 4 branch managers, and each branch manager has 8 staff. How many employees in total?
✔ **37**

7 Staff from sales and service are put into a project team to launch EV sales. Which structure is this?
✔ **A matrix (project team) structure**

8 Why does a business draw an organisation chart?
✔ **To show who reports to whom**

9 A manager with a wide span of control...
✔ **has many staff reporting directly**

10 Technicians need close supervision for safety. Should their manager have a wide or narrow span?
✔ **Narrow, so each person gets close attention**